Advanced Reporting and Performance Workshop 3

Welcome to Class



Introduction



Expectations for the day

- Ask questions!
- Have all materials on hand (including laptop, course materials, calculator, pen, etc)
- Active participation expected in class
- Professionalism
- No phones during class time

Timetable

- Class starts at 09:30 – please ensure you are in class and ready to start
- Morning break – 15 minutes
- Lunch – 60 minutes
- Afternoon break – 15 minutes

Introduction

Workshop materials

- Within Advantage, you will find the materials used within the workshops
  - Slides without solutions
  - Questions
  - Any other materials required

- After the workshop, additional materials will be released
  - Slides with solutions
  - Solutions for questions
  - Debrief video

Please find ARP Workshop 3 materials in Advantage now

Introduction

Modules covered in workshops 1 and 2

- Module 1 Presentation and disclosure of financial statements
- Module 2 Assets
- Module 3 Liabilities
- Module 5 Financial Instruments
- Module 6 Consolidation

What we will cover today

- Module 6 Consolidation (Joint arrangements)
- Modules 8 & 9 Non-financial Reporting and relationship with Financial Reporting
- Module 7 Consolidated Cash Flows
- Module 4 Revenue & pensions
- Past Paper Question Practice
- Assessment Technique and preparing for your assessment

Assessment

- Scenario-based invigilated written assessment
- 3 hours for the assessment
- 100 marks available (1.8 minutes per mark)
- Closed book exam
- Pass mark = 50%
- 3 Sections

1. Section 1 – individual companies
2. Section 2 – group companies
3. Section 3 – non-financial reporting

Assessment

- More focus on explanations – analysing and evaluating scenarios
- Analysis – Examine and break information into parts, evidence to support why you reached your conclusion / recommendation
- Evaluating – Advising on appropriate accounting treatment for transactions and correcting any errors. Evaluating the impact of transactions on the financial statements. Evaluating and making recommendations of disclosures and improvements that can be made.

TUTOR TIP: Exam marks will be ROUGHLY split 50:50 for explanations and calculations / presentation / disclosures.

Assessment – permitted materials

Closed book assessment with permitted materials

- Hard copy IFRS Accounting Standards
- ICAS Code of Ethics
- Sustainability standards (where applicable)
- Extracts of company law or other legislation (where applicable)
- 5 A4 sheets of blank paper
- Scientific calculator

IFRS textbooks

- Permitted materials includes your hard copy of the IFRS textbooks
- Part A: Issued standards and the Conceptual Framework for Financial Reporting
- Part B: Accompanying guidance and IFRS Practice Statements
- Part C: Bases for conclusions

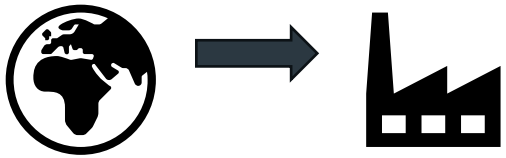
You should practice using the standards

You are NOT allowed to write in your textbooks.
You are allowed to highlight, sideline, underline and tab your textbooks.

Module 8 & 9

Non-Financial Reporting: Sustainability Disclosures
The relationship between financial and non-financial disclosures

Reporting concepts and principles



Financial Materiality	Impact Materiality	Double Materiality
Impact **on** the business	Impact **of** the business	Impact **on** the business & impact **of** the business
IFRS Sustainability Disclosure Standards	Global Reporting Initiative Standards	European Sustainability Reporting Standards
Existing and potential investors and lenders	All stakeholders	All stakeholders

Assessment format

Ethical issues can be assessed in **all 3 sections** of the assessment

- Section 1 – Individual entity
- Section 2 – Group entities
- Section 3 – Non-financial reporting for Individual and/or Group Entities
  - Includes contemporary issues with an emphasis on sustainability and climate-related issues
  - Evaluation and critique of non-financial information

Quick quiz

It’s quiz time….

Modules 8 and 9 … Let’s test your knowledge

Question 1

What will an entity need to disclose to allow users to assess how well they have engaged with stakeholders?

Question 1 – Answer

To enable the stakeholder engagement process to be assessed, entities should disclose:

- the criteria for determining their stakeholder groups and **who** those groups are
- the **method and frequency of engagement**, on an ongoing basis and for determining material topics
- the **views and concerns** of stakeholders by group
- how stakeholder feedback influenced the **selection, review and updating of material topics**.

Question 2

What are the three sections which a company has to include in its strategic report?

Question 2 – Answer

- **Strategic management** – an explanation of the company's strategy, objectives and business model.
- The **Business environment** in which the company operates, including the principal risks and uncertainties facing the business, changes in the marketplace, and relevant environmental and social matters.
- **Business position and performance** – an analysis of the entity's performance, including appropriate qualitative and quantitative information, with appropriate reference to key performance indicators (KPIs).

Question 3

Give two examples of differences between financial and non-financial reporting disclosures.

Question 3 – answer

Financial vs impact materiality

- Financial reporting has a distinct financial materiality perspective
- Non-financial reporting has a complementary and broader role and applies the impact materiality perspective.

Definition of reporting entity

- Financial reporting follows certain rules related to the recognition of a consolidated entity or investment under the umbrella of a reporting entity.
- Non-financial reporting follows a broader approach. It has the reporting entity as a starting point but, depending on the type of disclosure or the framework followed, adds additional interested parties.

Question 3 – answer (cont'd)

Time horizon

- Financial reporting presents the entity's current financial position and past financial performance.
- Non-financial reporting adopts a more forward-looking approach. For instance, sustainability considerations usually need significant time to be realised and implemented.

Monetary considerations

- Financial reporting is clearly expressed in monetary terms.
- Non-financial reporting usually expresses non-monetary considerations associated with the broader environment and the entity's business model.

Question 3 – answer (cont.)

Reliability

- Financial reporting includes information that has a high degree of reliability in terms of measurement and recognition while also providing detailed disclosures on sources of uncertainty.
- Non-financial reporting has a high degree of uncertainty, mainly due to its forward-looking nature and limited guidance over measurement and recognition.

Non-financial disclosures – tutor tips

- You may be expected to **evaluate the adequacy of disclosures** and make **recommendations for improvements** to draft disclosures that have been prepared by the reporting entity.
- You could be asked whether information prepared under one set of standards is more useful, or provides better quality information, to stakeholders. The ability to **assess whether information meets the reporting principles of the standard,** including through the requirement / lack of requirement for external assurance, is an important consideration when considering the **usefulness and quality** of information.
- You are expected to have a **high-level understanding** of the requirements of the relevant standards relating to **climate-related issues, the approach to Governance and materiality**, but not the specific details and references.
- You may be provided with a short extract from a **specific standard** in the assessment which you **need to apply to the scenario given**.

Non-financial disclosures – tutor tips

- You won't be expected to advise on climate-related risks and opportunities for different industries, however, you could be provided with a **scenario to analyse** with a requirement to:
  - identify the **risks and opportunities** described
  - categorise risks into **physical and transition risks**
  - identify the **financial impact** of climate-related risks and opportunities for a particular entity.

- When considering the strategic report, you do not need to memorise the definitions of a small company or micro-entity. You will be provided with extracts from the Companies Act 2006 where they are required.
  - You need to **be able to apply those definitions** to the scenario to determine whether a company is a small company or micro-entity.

Non-financial disclosures – tutor tips

- You may be asked to evaluate financial and non-financial disclosures to **determine whether they are consistent**. The main areas of consistency and inconsistency should be applied in the **context of the scenario given**.

- You may be asked whether climate-related matters should be taken into account when preparing financial statements. The scenarios will be limited to the IFRS Accounting Standards covered previously.

Module 7
Statement of cash flows

Cash flows – Module 7

- Cash flows can be prepared using either **direct** or **indirect** method
- Difference only relates to Operating Activities section
- Purpose is to reconcile opening cash balance and closing cash balance

You should be able to:

1. **Construct** a statement of cash flows for an individual company in accordance with IAS 7 *Statement of Cash Flows.*
2. **Construct** a statement of cash flows for a Group, including intercompany balances and transactions, goodwill, gain from bargain purchase, fair values etc.
3. **Advise** on the effect of transactions and adjustments on the financial statements of an individual company and of a group.

Consolidated Statements of Cash Flows

Overall, the process is the same as for the individual statement of cash flows except that we use the **consolidated statement of financial position** (consolidated SOFP) and the **consolidated statement of profit or loss and other comprehensive income** (consolidated SPLOCI).

This ensures a uniform approach across all consolidated financial statements.

Consolidated Statements of Cash Flows

Must consider the following:

1. Elimination of intra-group transactions
2. Equity method of consolidation (i.e. associates and joint ventures) **(IAS 7, paragraphs 37-38)**
3. Dividends to NCIs (**IAS 7, paragraphs 31-34)**
4. Acquisitions/disposals of subsidiaries (**IAS 7, paragraphs 39-44)**

(IAS 7 B Book, B601 – B602)

Consolidated statements of cash flows

Consolidated Entity Ltd
Consolidated Statement of cash flows
For the year ended 31 December 20XX

	£'000
Cash flow from operating activities	
Operating profit	**XX**
Adjustments for:	
Impairment of goodwill	XX
Depreciation charge	XX
(Gain)/loss on disposal of non-current assets	(XX)/XX
Release of deferred income	(XX)
(Increase)/decrease in inventories	(XX)/XX
(Increase)/decrease in trade receivables	(XX)/XX
(Increase)/decrease in prepayments	(XX)/XX
Increase/(decrease) in trade payables	XX / (XX)
Increase/(decrease) in accruals	XX / (XX)
Increase/(decrease) in provisions related to operating activities	XX / (XX)
Cash from operating activities before income taxes	**XX**
-Income taxes paid	(XX)
Net cash generated from/(used in) operating activities	**XX**

Module 7, Lesson 2, Topic 1

New section of the cash flow
Only for consolidated cash flows

Consolidated statements of cash flows

Cash flow from investing activities	
Acquisition of subsidiary undertaking	(XX)
Disposal of subsidiary undertaking	XX
Cash paid to acquire non-current assets	(XX)
Cash receipts from the sale of non-current assets	XX
Cash paid to acquire/received from the sale of shares and debentures in other entities	(XX)/XX
Cash loans made to/repaid by other entities	(XX)/XX
Dividends received	XX
Dividends received from joint ventures and associates	XX
Interest received	XX
Net cash generated from/(used in) investing activities	**XX**
Cash flows from financing activities	
Proceeds from issue of new shares	XX
Dividends paid to non-controlling interests in subsidiary undertakings	(XX)
Cash paid to acquire/redeem own shares	(XX)
Cash proceeds from issuing debentures and loans	XX
Repayment of capital element of lease obligations	(XX)
Interest paid	(XX)
Dividends paid	(XX)
Net cash generated from/(used in) financing activities	**XX**

New sections of the cash flow
Only for consolidated cash flows

Module 7, Lesson 2

(IAS 7 B Book, B601 – B602)

Group Activity

Consolidated statement of cash flows

ARP Workshop 3



Consolidated statement of cash flows Question

Module 7 - APQ 5 Taylor plc

Refer to PDF in advantage

Tutor Debrief – refer to PDF solutions

Module 6
Consolidation

Associates and joint ventures

Associates and joint ventures– what have you learnt?

What is the investment in the entity (does control exist)?

What are the steps for the equity method?

- **Step 1 – calculate any bargain purchase**
- **Step 2 – share of historical change in retained earnings**
- **Step 3 – group share of associate's profits/losses for the year**
- **Step 4 – elimination of internal transactions**

Past Paper Assessment Practice

ARP Workshop 3



Summative Assessment Jun 25

Section 2 (38 marks)

Remolk Industries plc

Workshop 3 Practice question

Summative Assessment Jun 25

Section 2 (38 marks)

Remolk Industries plc

Attempt requirement 3

Summative Assessment Aug 24

Debrief Requirement 3

Module 4
Income and Expenses



Share-based payments



Share Based Payments – what have you learnt?

What is a share-based payment?

What are the three different types of share-based payments?

Define the following terms:

- Grant date
- Vest date
- Vesting period

Share Based Payments

A **share-based payment** is a transaction in which an entity makes payment to a supplier or employee in the **form of its own equity instruments** (shares or share options) or a **cash amount related to the value** of those equity instruments.

Equity-settled share-based payments

Payment is in the form of shares or share options.

Cash-settled share-based payments

Payment is in the form of an amount of cash related to the share price.

Share-based payments with a choice of settlement

Payment is either equity-settled or cash-settled at the option of either the entity or the counterparty.

- **Grant Date:** The date on which the entity and counterparty (e.g. supplier or employee) agree to a share-based payment arrangement.
- **Vesting Date:** The date on which the counterparty is entitled to receive the equity instruments granted.
- **Vesting Period:** The period between grant date and vesting date.

Group Activity

Share based payments

ARP Workshop 3



Equity-settled Shared-based payments

- **What are they used for?**
- **How are they measured**
- **When and how are they recognised**
- **How do the following terms apply:**
  - Grant date
  - Vest date
  - Vesting period
- **Conditions?**
- **What happens at subsequent reporting dates**

Equity-Settled Share-Based Payments

- An equity instrument where **equity shares are granted** to employees or suppliers as payment for goods /services / performance
- **Recognise** when goods or services are **received** (usually suppliers) or **over a period of time**
- Measured at FV on receipt of the goods or services if measurable or FV of the equity instrument on grant date

  - To **Suppliers** – usually recognise immediately
    - DR Supplier Expense or PPE Asset / CR Share Capital and CR Share Premium

  - To **Employees – over time** as usually dependent on **vesting conditions** including:
    - **Period of service** – recognise **over the vesting period** and **update** at each reporting period on expectation
    - Performance **related to share price** – **no adjustment** is made at each reporting period
    - **Performance not related to share price**, eg revenue increase or performance targets – **update** at each reporting period based on expectation
      - DR Staff Costs / CR Retained Earnings

Equity-Settled Share-Based Payments

- At vest date options are exercised or lapse
  - **Exercised** – recognise
    DR Bank / CR Share Capital and Share Premium
  - **Lapsed** – No accounting required
  - For either exercised or lapsed, can transfer from Retained Earnings to another reserve within Equity

Equity Settled Share Based Payments

Vesting Conditions Question: Berry plc

Berry plc (Berry) has granted share options to its 1,000 employees on the following basis:

- Each employee will be entitled to 500 options if they remain with Berry for the three years from 1 January 20X1
- At the grant date, each option is estimated to have a fair value of £3.50
- At the year ended 31 December 20X1, 50 staff leave and Berry estimates a total of 100 will leave over the two years from 1 January 20X2
- During 20X2, 60 staff leave and it is now estimated that 55 will leave in 20X3
- During 20X3, 45 staff leave

1. Calculate providing explanations and showing all workings, the amounts that should appear in the financial statements for the years ended 31 December 20X1, 20X2 and 20X3.

2. Prepare the journal entry to account for the share-based payment for the year ended 31 December 20X3.

Equity Settled Share Based Payments

- **Solution: Berry plc**

- There is a three-year service condition and the options relate to services provided by the employees over that three-year period.
- The cost of these services should be recognised over the three years and the number of options expected to vest revised annually, based on changes to eligible staff.
- The transaction is measured using the fair value at the grant date. The fair value is not revised.

		Expense £000	Equity £000
31 December 20X1	(1,000 – 50 -100) employees x 500 options x £3.50 x 1/3 years	496	496
31 December 20X2	(1,000 – 50 – 60 - 55) employees x 500 options x £3.50 x 2/3 years - £496k	478	974
31 December 20X3	(1,000 – 50 – 60 - 45) employees x 500 options x £3.50 x 3/3 years - £974k	505	1,479

Equity Settled Share Based Payments

Solution: Berry plc

Journal Entry

	£000	£000
Dr SPL – staff costs	505	
Cr Retained Earnings		505
being share-based payment expense for the year ended 31 December 20X3		

Cash-Settled Shared-based payments

- **What are they used for?**
- **How are they measured**
- **When and how are they recognised**
- **How do the following terms apply:**
  - Grant date
  - Vest date
  - Vesting period
- **Conditions?**
- **What happens at subsequent reporting dates**

Cash-Settled Share-Based Payments

- Cash-settled share-based payments are usually a form of **reward provided to employees** in exchange for their services. They may take the form of:
  - **Share appreciation rights (SARs),** which grant employees a **right to a future cash payment** that is based on an increase in share price over a defined period
  - A right to shares that are redeemable (not examinable in ARP)
- **Recognise** at **FV of the liability** when the goods or service are provided
  Dr Expense or Asset / Cr Liability (Other payables)
- A cash-settled transaction is recognised in the same way as an equity-settled transaction (i.e. over the vesting period). BUT, we will **update the fair value at each reporting date**.
- Any **remeasurement gains or losses are recognised in profit or loss**, including when the share-based payment qualifies for recognition as an asset.
- At vest date DR Liability (Other payables) / CR Bank

Cash Settled Share Based Payments

Vesting Conditions Question: Eammon plc

Eammon plc (Eammon) grants 500 SAR to each of its 300 employees on 1 January 20X1, on the condition that the employees remain with the company for the next two years.

- The SAR must be exercised on 1 January 20X3.
- At 31 December 20X1, the best estimate was that 80% of the staff qualified for the scheme. At the end of 20X2, the best estimate was that 82% of staff qualified for the scheme.

- The estimates for the fair value of each SAR at the end of each year are as follows:

20X1	£12.00
20X2	£14.30

1. Prepare, showing all workings, journal entries to account for the share-based payment arrangement for the years ended 31 December 20X1, 20X2 and 20X3.

Cash Settled Share Based Payments

Solution: Eammon plc

		Expense £000	Liability £000
31 December 20X1	(80% x 300 employees) x 500 SAR x £12.00 x 1/2 years	720	720
31 December 20X2	([82% x 300 employees] x 500 SAR x £14.30) - £720k	1,039	1,759

Cash Settled Share Based Payments

Solution: Eammon plc

Journal Entry

	£000	£000
Dr SPL – staff costs	720	
Cr Other payables		720
being share-based payment expense for the year ended 31 December 20X1		

	£000	£000
Dr SPL – staff costs	1,039	
Cr Other payables		1,039
being share-based payment expense for the year ended 31 December 20X2		

Cash Settled Share Based Payments

Solution: Eammon plc

Journal Entry

	£000	£000
Dr Other Payables	1,759	
Cr Bank		1,759
being settlement of share-based payment liability on 1 January 20X3		

Share-based payments - Disclosures

General information	Fair Values	Effects on financial statements
Information should be provided that allows users to understand the nature and extent of share-based payment arrangements in the period. This includes: • A description of each type of arrangement, including vesting conditions. • The number and weighted average exercise price of share options that were: – outstanding at the start and end of the period – granted during the period – lapsed during the period – exercised during the period – expired during the period – exercisable at the end of the period	Information should be provided that allows users to understand how the fair value of goods or services received or the fair value of instruments granted in the period was determined.	Information should be provided that allows users to understand the effect of share-based payment transactions on profit or loss for the period and on its financial position. Disclosed information should include: • The total expense in the period, including separate disclosure of the expense arising from equity-settled share-based payments • The carrying amount of share-based payment liabilities at the end of the period

Module 4, Lesson 11

IFRS 2 - SBPs
B Book - B74

Deferred tax in relation to cash–settled share-based payments

- A cash-settled share-based payment results in the recognition of a liability at the reporting date and therefore deferred tax should be considered.

Carrying amount The carrying amount should be calculated in accordance with IFRS 2, as described in Lesson 9.	**Tax base** The tax base of a liability is its carrying amount less any amount that will be deductible for tax purposes in future periods. In the UK, employee remuneration payable is only tax allowable if it is paid within nine months of the year end. Therefore no tax relief will have been given for a cash-settled share-based payment liability due in more than nine months. The tax base of the liability is therefore nil, because the full carrying amount will be deductible for tax purposes when paid.
Temporary difference The amount of the temporary difference is the carrying amount of the share-based payment liability due in more than nine months. It is a deductible temporary difference because tax relief will be given equal to the carrying amount in the future.	**Deferred tax** A deferred tax asset is calculated by applying the relevant tax rate to the temporary difference.

Module 4, Lesson 11
Topic 2

Revenue



Revenue

Five-step approach [RP2 and ARP]

STEP 1: Identify the contract with a customer

STEP 2: Identify the performance obligations in the contract

STEP 3: Identify the transaction price

STEP 4: Allocate the transaction price to the performance obligations

STEP 5: Recognise revenue when (or as) performance obligations are satisfied

Revenue recap

STEP 1: Identify the contract with a customer

(is there even a contract giving rise to revenue?) [IFRS15:9]

1. Approval – parties have approved it and are committed to performing the obligations.
2. Rights can be identified.
3. Payment terms can be identified.
4. Commercial substance – in particular, transfer of risk.
5. Consideration – probable that consideration will be paid. In evaluating probability, the entity should consider only the customer's ability and intention to pay the consideration when it falls due. The evaluation is not affected by the fact that variable consideration in the contract may reduce the amount of consideration to be received.

- All five criteria need to be met.
- If all five are not met at the inception of a contract, they may be met at a later date (15.14).

Revenue recap

STEP 2: Identify the performance obligations in the contract [IFRS15.22]

A performance obligation is a promise in a contract with a customer to transfer to the customer either:

(a) A good or service (or bundle of goods or services) that is distinct; or
(b) A series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer.

Two criteria to be a distinct good or service:

1. The customer must be able to benefit from the good or service either on its own or together with other readily available resources; and
2. The promise to transfer the good or service must be separately identifiable from other promises in the contract.

Revenue recap

STEP 3: Determine transaction price [IFRS15.47-63]

1. Exclude amounts collected for other parties (i.e. travel agent collecting flight ticket payment on the airlines behalf, or VAT collected on HMRC's behalf).
2. Adjust contract price for significant financing component.
3. Include variable elements if it is highly probable that they will be reflected in the consideration received (re-assess at each period end until settled):

   3.1 Transaction price is the single most likely amount of consideration (e.g. if a contract has a limited number of outcomes)

   3.2 Transaction price is measured using expected values (e.g. where there are several similar contracts or a number of outcomes) – use a pro-rata of probabilities.

Refunds are a form of variable consideration and expected levels of refunds should be reflected in measurement of revenue.

Non-cash consideration also needs to be accounted for.

Revenue recap

STEP 4: Revenue allocation [IFRS 15.76]

If there are one or more performance obligations combined in a single price, the best way to split this is to observe the standalone price of each of these services (as per the company's prices).

In RP2, it was assumed that stand-alone selling prices for goods and services provided in a contract would be available.

For ARP, there may not be an observable standalone price, we need to estimate it:

- Adjusted market assessment - Estimate the amount that a customer in that market would be willing to pay, taking into account the amounts charged by competitors for similar goods/services.
- Expected cost plus margin - Forecast the costs to satisfy a performance obligation and then add an appropriate margin for that good/service.

Revenue recap

STEP 5: Revenue recognition [IFRS 15.31,32,35,39-41]

Revenue is recognised when control passes, this occurs when the customer can:

- Direct the use of the asset;
- Obtain substantially all remaining benefits from the asset; and
- Prevent others from directing the use of the asset/obtaining remaining benefits.

This may happen at a single point in time or over a certain period of time.

If control passes over a certain period of time - progress towards completion may be measured using input methods (e.g. costs incurred as a proportion of total costs) or output methods (e.g. surveys of performance to date).

Revenue recap

STEP 5: Revenue recognition [IFRS 15.31,32,35,39-41] cont'd

Often control is transferred when goods are delivered to the customer, but in more complex scenarios judgement may be required to determine at which point in time control is passed.

The following are indicators of the transfer of control, although other indicators may also be relevant. They should be applied to a given scenario in order to conclude whether control has passed to the customer at a point in time:

- The seller has a present right to payment for the asset
- The customer has legal title to the asset
- The seller has transferred physical possession of the asset to the customer
- The entity has transferred the significant risks and rewards of ownership of the asset to the customer
- The customer has accepted the asset

Revenue recap

STEP 5: Revenue recognition [IFRS 15.31,32,35,39-41] cont'd

You may need to analyse and explain the following revenue recognition scenarios at ARP – only the first two were covered in RP2:

1. Sales made by a company acting as an agent for another party
2. Sales with a right of return
3. Non-refundable up-front fees e.g. Gym membership joining fee (on top of monthly payment)
4. Bill-and-hold sales e.g. the selling company takes payment for goods but holds them on behalf of the buyer
5. Consignment sales e.g. car dealership takes possession (but not ownership) of goods on behalf of the manufacturer
6. Extended warranties
7. Sale and repurchase transactions e.g. sell goods or assets to a bank with an option to repurchase the goods in the future at a higher price (effectively this is a financing agreement).
    1. Forward option - the seller is obligated to repurchase at a later date at a specific price.
    2. Call option - the seller can choose to repurchase at a later date at a specific price.
    3. Put option (out of scope) – the buyer can oblige the seller to buy goods or assets back at a later date at a specific price.

Quiz – Revenue recognition

Kahoot quiz

Join at Kahoot.it

Enter game pin

You will be randomly allocated a nickname

No account needed

Revenue question

APQ 6 – Swarbrick Ltd – YE 30 June 20X8

Two matters to consider:

1. **Sale of bricks**
2. ***Sale of timber***

Requirement: Advise, showing all workings, how each of the transactions should be accounted for in the year ended 30 June 20X8.

Revenue question – Tutor debrief

APQ 6 – Swarbrick Ltd – YE 30 June 20X8

1. Sale of bricks

The sale of bricks is a buy-and-hold transaction and therefore the normal IFRS 15 rules regarding performance obligations being satisfied when control of the asset passes to the customer do not apply.

In a buy-and-hold transaction, revenue can be recognised provided the following criteria are satisfied:

- The bill-and-hold agreement is substantive. This appears to be the case in the sale of bricks as there is a legitimate reason for Frey not taking delivery of the bricks at the date of sale.
- The goods are labelled as belonging to the customer and cannot be used or sold to another customer, which are both evidenced by the bricks being held in a separate area of the yard and being clearly labelled as belonging to Frey.
- The bricks are available for immediate transfer to the customer. Swarbrick makes its own deliveries and will deliver the goods within its standard 3-day delivery window when Frey is able to take delivery.

Revenue question – Tutor debrief

APQ 6 – Swarbrick Ltd – YE 30 June 20X8

1. Sale of bricks (cont.)

As Swarbrick does not normally provide storage services and there is no additional fee charged for storing the bricks, it does not appear that the storage is a separate performance obligation and therefore the full amount of £412,000 can be recognised as revenue at 30 June 20X8.

Revenue question – Tutor debrief

APQ 6 – Swarbrick Ltd – YE 30 June 20X8

2. Sale of timber

Swarbrick has sold the timber to the financial institution, but the financial institution does not have control over the timber as Swarbrick has a call option which allows it to repurchase the timber at any time after 1 year has elapsed.

- Revenue cannot be recognised and instead this should be treated as a financing transaction as Swarbrick will receive £400,000 at the date of sale and be obliged to pay £500,000 to the bank when the call option is exercised.
- Revenue should not be recognised and instead a loan liability of £400,000 should be recognised. The loan liability is accounted for as a financial liability in accordance with IFRS 9.
- Finance costs should be recognised and measured using the effective interest rate for the period 1 June to 30 June 20X8.

Employee Benefits

Post Employment Benefits – Pension Types

Defined benefit pension plan

- When the employee retires, their pension returns are **guaranteed,** related to service and salary
- The pension plan must be able to fund these guaranteed amounts
- The **company payments** to the pension plan are **variable**, depending on fund performance
- Actuaries estimate the **future obligation** and contributions required by the employer to fulfil
- Risk lies with the **employer,** ie higher contributions

Defined contribution pension plan

- Employer makes **fixed contributions** to a pension plan
- The pension plan invests the contributions
- The plan value depends on how the investments perform
- When the employee retires, **the pension returns are variable,** depending on plan performance
- Risk lies with the employee, ie lower pension returns

Defined Benefit Pension Plan

Reconciliation of the defined benefit pension plan's asset and obligation.

	Debit/(Credit) FV of plan ASSETS	Debit/(Credit) PV of OBLIGATION	
Opening balance	26,500	(28,100)	
Contributions	100		Contributions made by employee and employer to the pension fund
Benefit payments	(120)	120	Payments made by the pension fund to members of fund who have retired
Current service cost		(150)	Current year increase in amounts that will be needed to fund employees' future pension payments
Interest income/expense	1,060	(1,124)	Interest income earned by plan assets and reinvested. Interest expense —unwinding of the present value of the obligation.
	27,540	(29,254)	This is the expected balance, based on above.
Remeasurements	(640)	(1,246)	Remeasurements required to adjust the expected balance above to the fair value closing balance (below)
Closing balance	26,900	(30,500)	Closing balance as measured by actuaries.

Interest Income / Expense

- The Interest income/expense is calculated on the **opening balance** of the FV of Plan Assets and PV of Obligation.
- Adjustments must be made to this **opening balance** depending on the **timing** of
  - Contributions (affects only FV of Plan Assets)
  - Benefits paid (affects both the FV of Plan Assets and the PV of the Obligation)
  - Amendments, Curtailments and Settlements

		FV of plan **Assets**	FV of **Obligation**
Contributions	Paid at the **start** of the year	100%	
Benefit Payments		100%	100%

Contributions	Paid **evenly throughout** the year	50%	
Benefit Payments		50%	50%

Contributions	Paid at the **end** of the year	0%	
Benefit Payments		0%	0%

Amendments, Curtailments and Settlements

	What are they?	Accounting Treatment	Journal entries
Amendment	- **Introduction** or **withdrawal** of a defined benefit pension plan - **Increase** or **decrease** to future benefits provided by an **existing plan**	**Recognise a past service cost in the current period**	Dr Staff costs Cr Pension obligation or Dr Pension obligation Cr Staff Costs
Curtailment	- A significant **reduction** in the number of employees included in a defined benefit plan (eg as a result of redundancies or closure of a division)	**Accounted for as a past service cost**	Dr Pension obligation Cr Staff costs
Settlement	- **Elimination** of all or part of a pension obligation (eg on transfer of the obligation to another plan due to the sale of a business) - Usually accompanied by a **reduction** in assets (usually assets reduce because they are used to make a lump sump payment or transfer to another party with the pension obligation	**- If the obligation reduces by more than the assets, it results in a gain in profit or loss** **- If the assets reduce by more than the obligation, it results in a loss in profit or loss**	Dr Pension obligation Cr Asset Dr/Cr SPL Gain or Loss

Defined Benefit Pension Question

Module 4 - APQ 9 Stamp Ltd

Refer to PDF in advantage

Plan B only

Debrief
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Past Paper Assessment Practice

ARP Workshop 3



Ethics scenario

- **The below is an extract from the June 2024 past paper:**

You are the financial controller of Lembesca plc (Lembesca), and you are responsible for preparing its consolidated financial statements in accordance with IFRS Accounting Standards.

One of Lembesca's subsidiaries, Fundsbury Ltd (Fundsbury), has made a substantial loss for the year ended 31 March 2024. The finance director, who is a CA, has instructed, 'You must not include Fundsbury in this year's consolidation; otherwise, group profits will be lower than last year, and I will lose my bonus. I'll come up with some excuse that I can use to convince the auditors that this is legitimate. This is important — remember who approves your annual salary increase — me!'

Ethics scenario

- The finance director has instructed you to not include a loss-making subsidiary, as it will impact on their bonus.
- The finance director is not acting with **objectivity**, as the reason for omitting the subsidiary is to ensure that their bonus is paid.
- The instruction from the finance director also shows a lack of **integrity**, as the implication is that the finance director will try and mislead the auditors over the reasons for omitting the subsidiary.
- There is also a lack of **professional behaviour**, in that the finance director has effectively issued a threat regarding your salary if you do not comply with the instruction.
- You should refuse to omit Fundsbury from consolidation.
- You should **escalate the matter** by reporting it to your line manager, using a whistleblowing line if available, contacting ICAS for guidance or, if the matter cannot be resolved, resigning from the company.

Ethics scenario

- **The below is an extract from the June 2024 past paper:**

Question

Advise, with reference to the ICAS fundamental ethical principles, of any ethical issues for the finance director arising from their instruction to you and any actions that should be taken.

(6 marks)

Assessment technique

- **Read the questions before you start working**
- **Do what is required –** Advise, explain, calculate, prepare journals, construct, analyse, evaluate, recommend.
  - **Advise** – What relevant standards apply to the information in the question and what does this mean for the company; eg. advise how revenue should be accounted for.
  - **Analyse** – Use information to come to a conclusion eg. advise if a contract is a lease.
  - **Evaluate** – Compare what has been done against what should have been done eg. evaluate the extent to which disclosures comply with relevant standards.
  - **Recommend** – how can any gaps be dealt with eg. recommend two improvements to existing disclosures.
- **Be clear and concise in your response –** do not talk around the issue but fail to address the point; reference standards and how they apply/do not apply to the scenario

Assessment technique

TUTOR TIPS:

- Assessment marks will be **ROUGHLY split 50:50** for explanations and calculations / presentation / disclosures… **be ready to write**, not just calculate
- Be specific in your answers in **relation to the scenario**, you must be applying knowledge and your explanations to **facts and details in the scenario** in the question.
- To study for the assessment: **Question practice is key!** Practice your explanations and advise requirements, this is a key skill at ARP!
- Complete question practice using **assessment timings** and where possible under assessment conditions **without your notes**.
- **Utilise your permitted materials** and practice using them whilst doing your question practice.

Wrap up



Getting help

Skills technical queries

- Class tutors
- Discussion boards

Administrative queries

- students@icas.com

Any questions?

